
1 September 2000

< *Securities Dealer / Exempt Dealer* >

Attn : Dealing Director / Chief Executive

Dear Sir,

Electronic Initial Public Offering (eIPO)

On 24 July 2000, the Securities and Futures Commission (SFC) released the *Guidelines for Registered Persons Using the Internet to Collect Applications for Securities in an Initial Public Offering* (Guidelines). The Guidelines are intended to provide guidance to those registered persons who use the Internet to collect applications from their clients or the public for securities in an initial public offering (IPO).

At the time when the Guidelines were released, the Federation of Share Registrars Limited (Federation) also issued a document titled "Operational Procedures for eIPO Applications Submitted via Banks/Stockbrokers" which sets out the operational procedures which must be followed by eIPO service providers when submitting application information to the share registrar and the receiving banks.

To assist the market in obtaining a more detailed understanding of the eIPO method, on 7 August 2000, a public seminar was organised by the Federation for the banking and securities industries in the Hong Kong Convention and Exhibition Centre. Some of you might have attended that seminar.

Under the eIPO method, eIPO service providers are required to transmit application data to a share registrar or receiving banks via CD-ROMs or electronic files via the SD Net in accordance with the data file format specified by the Federation. Moreover, before an eIPO service provider offers its service to its clients, it must go through a data conformity test with the Federation and obtain satisfactory results.

So far only a few eIPO service providers have gone through and obtained satisfactory results for a data conformity test. To safeguard the interest of public investors and to ensure an orderly development of the market for eIPO services, the SFC has decided that any issuing company or any vendor of securities subject to an initial public offering can require any financial institution (e.g. securities dealers and exempt dealers) which intends to become an eIPO service provider for the IPO to conduct a data conformity test before it can be allowed to participate in the eIPO. In addition, the issuing company or the vendor of securities may impose additional reasonable requirements which such financial institution must satisfy or comply with before it can participate in the eIPO.

One of the forthcoming IPOs in which the eIPO method may be used is the MTR share offer. In order to give the SFC the opportunity to ensure that the Guidelines and Operational Procedures can be complied with by those wishing to provide eIPO services, we ask that any financial institution (e.g. securities dealers and exempt dealers) that intends to be an eIPO service provider for the MTR public offer advises the Commission as soon as possible and in any event no later than 5 September 2000 of this intention to offer eIPO services. Please use the [attached form](#) to notify the Commission.

We have been asked to inform you that any financial institution (e.g. securities dealers, exempt dealers) which wishes to become an eIPO service provider in the MTR public offer must conduct its data conformity test with Central Registration Hong Kong Limited by 12 September 2000 and obtain a satisfactory result in that test. According to Central Registration, it will be able to notify the results of the test to the financial institution two days after its submission of the data files or CD-ROMs.

For your information, the following documents are available on the SFC's website (<http://www.hksfc.org.hk/>) under the section on Update for Intermediaries:

- SFC's Guidelines
- Federation's Operational Procedures
- Federation's Procedure for Testing Data Conformity

If you have any question regarding

- i. the data conformity test, please call Mr. David Fong of Central Registration (Tel : 2862-8592);
- ii. the contents of this letter, please call Mr. Lewis Tang of the SFC (Tel: 2840-9484).

Yours faithfully,

Keith Lui
Director
Supervision of Markets

Encl.